Association for Project Management

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Governance arrangements

Learning objective:

2. Understand governance structures as a framework of authority and accountability for the delivery of a project, which align with organisational practice.

2a) Knowledge of different types of permanent and temporary organisation structures and their features (including functional, matrix, and project) and know that an organisation's governance approach will inform the approach used for a project.

Permanent (BAU) and temporary (Project) organisational structures

- Permanent structures have stable teams for routine/operational work whereas specific initiatives, like projects, have temporary teams.

- Business as usual (BAU) or operations within an organisation are permanent structures that need specific resources to carry out routine tasks with a stable team environment.

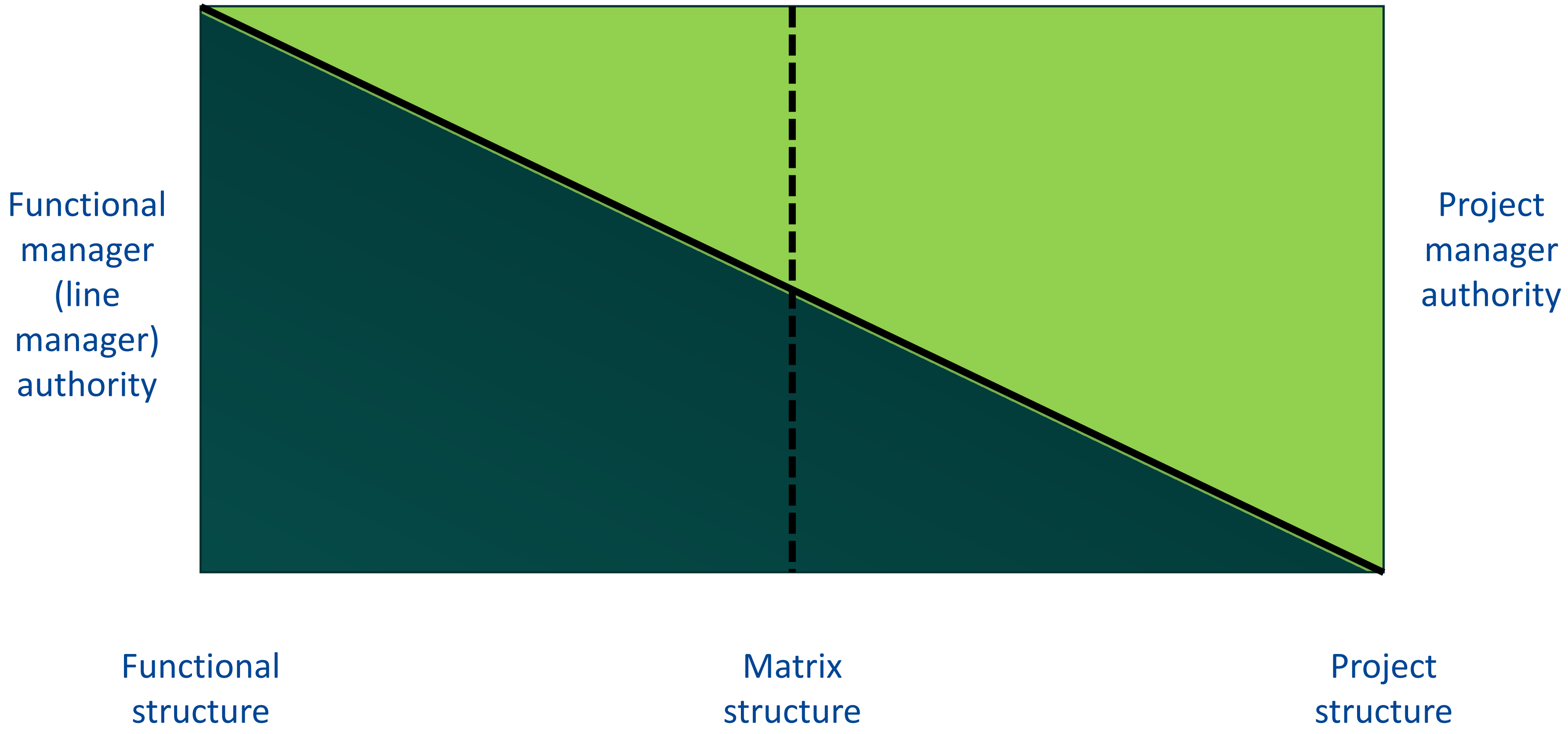
- A fully **projectised structure** is temporary, where the core teams are brought together for the entirety of a project, then disbanded; therefore, building expertise, where all the staff are fully under the direction of the Project Manager.

- **The matrix structure** is one of the most common temporary structures used to manage projects, where authority is balanced between the functional line manager and the project manager. A matrix structure provides a mix of skilled resources on a temporary basis to the project, whereas a project structure provides skilled resources permanently to the project.

- In a **functional structure**, an individual will take instruction from a functional line manager only and therefore the line of communication is more straightforward. A project or matrix structure will provide more varied amount of work than a functional structure. Within a functional or matrix environment, the individual will be allocated tasks that match their capability, and these tasks could be repetitive.

Organisational Continuum

Refer to the next slide, based on the information there, what type of organization structure does your organization have?



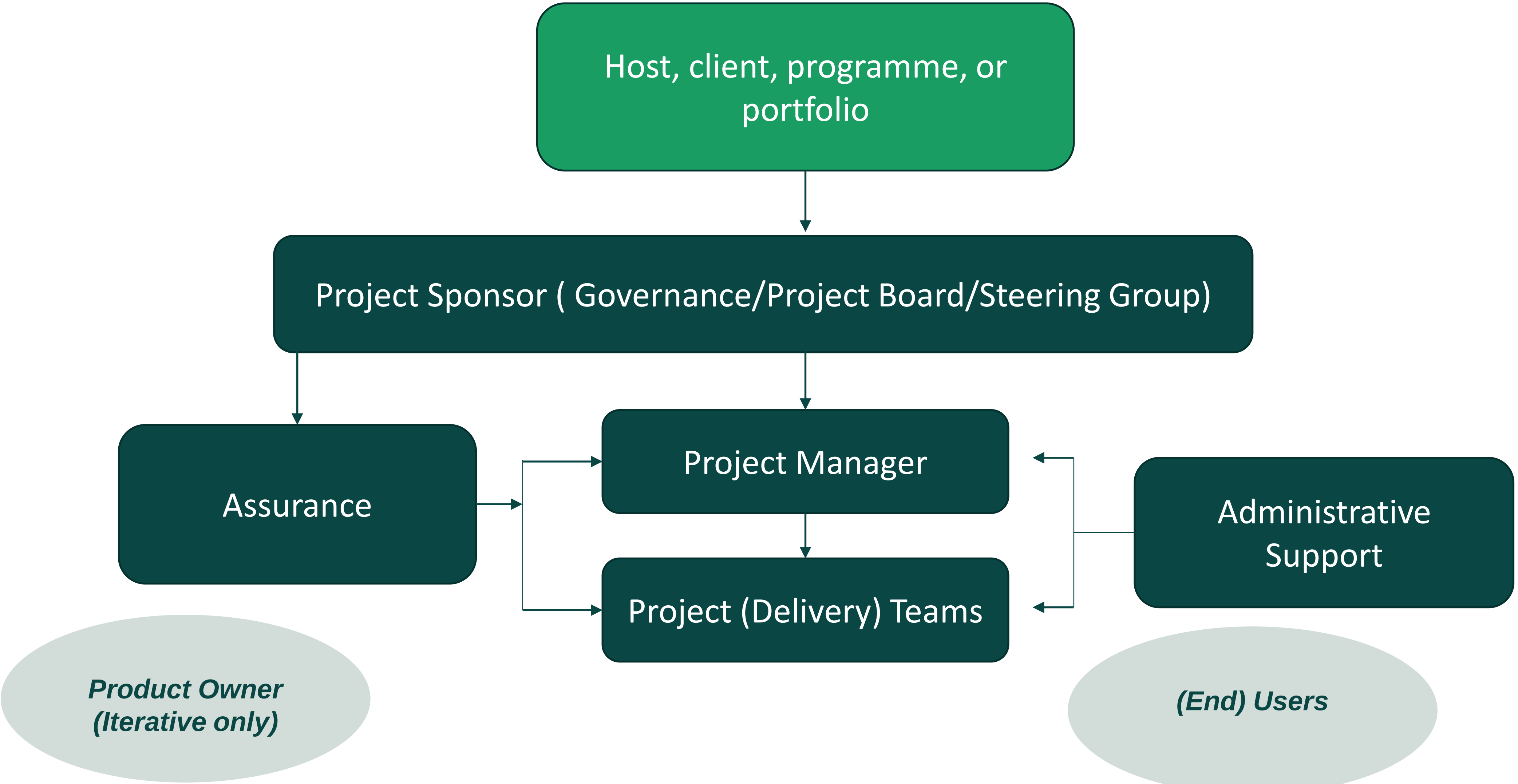
Permanent and temporary organisational structures

- The below table comparing permanent and temporary organisational structures:

Structure Type	**Functional**	**Matrix**	**Project-based**
Definition	Groups employees by specific skills and job functions in a hierarchical structure.	Combines functional and project-based structures, with dual reporting lines.	Forms teams specifically for projects, dissolving them after project completion.
Advantages	Clear career paths, specialised efficiency, easy management of tasks.	Resource flexibility, enhanced inter-department communication, good for complex projects.	High adaptability, focused decision-making, strong team motivation.
Disadvantages	Risk of silos, poor cross-department communication, less responsive to change	Potential for role confusion, conflict, and high administrative costs.	Job security concerns, frequent team changes, challenging resource management.
Typical Use	Stable operations like manufacturing or standardised services.	Industries with diverse, immediate projects such as IT and construction.	Project-centric fields like event management, construction, or consulting.

2b) Understand why there are distinct roles within project management and know the responsibilities of each role (including users, project team members, the project manager, the project steering group/board and the product owner) and understand the differences in responsibilities of the project manager and project sponsor throughout the project.

Example Project Team Structure



Roles on a project

Project manager

- Manages the project day-to-day.
- Ensures successful delivery of outputs, identifying and managing risks, managing budgets and schedule.
- Communicates with and updates all project stakeholders.
- Organises, motivates, and leads the team, ensures knowledge and skills are aligned to assigned roles.
- Develops the project management plan, and monitors and controls the project’s progress.

Project sponsor

- Communicates the vision and sets the high-level expectations, securing funding for the project.
- Owns and develops the business case during the definition phase, with support of the project manager.
- Identifies the business change and coordinates the justification of this change within the business case.
- Provides ongoing support to the project manager and overarching governance.
- Makes decisions on behalf of the business at phase reviews / decision gates.

Project steering group/board

- Guides the project in line with the strategic aims of the business.
- Responsible for the project’s feasibility, business case and achievement of outcomes.
- Authorises the business case on behalf of the organisation, sanctioning a release of funds for the project to progress.
- Decides on any escalated issues from the project manager and supports higher-level decision making.

Roles on a project

Product owner

- Typically, this role is more common within iterative or hybrid life cycles.
- Defines scope of work; leads the focus on product development.
- Acts as the intermediary between stakeholders and project team members.
- Creates vision and defines goals for the operability of the project's outputs.
- Accepts incremental delivery, performing a role to accept the function or scope as complete.

Project team members

- Perform project tasks as instructed by the project manager.
- Deliver project outputs.
- Report on progress of achievement against the project plan.
- Support the project manager in completing tasks within the project plan, such as identifying risks, communicating with stakeholders, and identifying and reporting changes.

Users

- Identify project requirements ensuring objective separation of musts and wants.
- Participate as members of the project team, identifying project constraints and dependencies.
- As subject matter experts, answer any questions the project team might have about the scope of work or the benefits required.
- Define acceptance criteria.

2c) Understand why aspects of project management governance are required (such as the use of policies, regulations, functions, processes, procedures and delegated responsibilities) and understand the impact of a project’s life cycle on its governance framework and the limits of financial authority.

Project management governance

Policies

- Provide guidelines as to what the **business** expects of projects e.g risk/reward balance
- Outline the boundaries for the business e.g.strategic objectives
- Influence how projects are conducted and demonstrate the culture of the organisation e.g. principles of governance
- Support governance of projects with various control points, such as decision gates, audits and evaluation reviews.

Regulations

- Ensure conformance to internal and external standards.
- Ensure that the work adheres to legal, regulatory, corporate, ethical and professional standards.
- May need a corporate level assurance function

Processes, procedures and functions

- Standardise methods of project working and provide a structured methodology for the delivery of projects.
- Ensure consistency of practice e.g some form of assurance to check
- Best practice to have a bank of processes, procedures, and standardised functions in place for a project community such as best practice principles for managing risk, controlling the budget, life cycle approach, etc.

Delegated responsibilities

- Clarify roles and increases efficiency; everyone has clarity on what is expected of them.
- Good governance expects that the roles and responsibilities of the team and wider stakeholders are clearly defined.
- Use of a responsibility assignment matrix (RAM or RACI) can support this activity.

Impact of a project's life cycle on its governance framework

Photo credit: Denys Nevozhai

- Projects will follow a recognised project life cycle.
- Governance will be embedded into each phase of the project life cycle, with control points between each phase such as gate reviews, audits and evaluation.
- Governance ensures that all the requirements of a preceding phase of the chosen life cycle are met before work progresses to the next phase.
- The decision points between life cycle phases are commonly known as decision gates and rely on assurance of the work carried out so far.
- The life cycle approach adopted will impact on the level of flexibility.
    - For example, an iterative life cycle allows objectives to evolve and therefore gives greater flexibility to the project manager in terms of budget and schedule as the scope develops. A linear approach is likely to have a strict budget and schedule agreed early on, and any change requires escalation to the steering board for approval.

2d) Understand the importance of linking projects to an organisation’s objectives.

Linking projects to an organisation’s objectives

- Projects, programmes and portfolios are introduced to enhance performance, bring about change and enable organisations to adapt, improve and grow.
- Organisational change is introduced through projects, programmes and portfolios to deliver business value.
- Delivering strategy is enabled through projects, programmes and portfolios. Portfolios structure investments in line with strategic objectives, while balancing, aligning and scrutinising capacity and resources. Programmes combine business as usual with projects and steady state activity dictated by strategic priorities.
- Projects are transient endeavours that bring about change and achieve planned objectives. They are intended to deliver the beneficial change required to implement, enable and satisfy the strategic intent of the organisation.

Photo credit: Gerrit Vermeulen

Portfolio

Programme A

Prog B

Freestanding Project 1

Linking projects to an organisation's objectives

- Linking projects to an organisation's objectives involves aligning project goals with the strategic aims of the company. This ensures that every project contributes directly to the broader business agenda and enhances overall organisational success.

- ***The following defines the importance of strategic alignment:***

1. **Enhances Strategic Cohesion:**

- When projects are aligned with organisational objectives, they contribute to a cohesive strategy that integrates various initiatives across the company. This alignment helps prevent projects from operating in silos, ensuring that all efforts are synergistic and collectively drive the organisation toward its long-term goals.

2. **Improves Resource Utilisation:**

- Aligning projects with organisational objectives ensures that resources are allocated efficiently and effectively. This strategic alignment helps organisations avoid wasteful expenditures and optimise the use of their assets, whether it's time, money, or personnel, by focusing on projects that offer the most substantial strategic value.

Linking projects to an organisation’s objectives

3. **Increases Stakeholder Engagement:**

- Stakeholders are more likely to support projects when they understand how these initiatives fit into the larger business context. By linking projects to clear organisational goals, stakeholders, including investors, employees, and partners, can see the direct benefits and are thus more engaged and supportive.

4. **Enhances Decision-Making:**

- Strategic alignment simplifies decision-making processes. Project managers and team members have a clear framework within which to make choices about project directions, priorities, and tactics. This clarity comes from understanding how their decisions impact broader business objectives, leading to more effective and quicker decision-making.

Linking projects to an organisation’s objectives

5. **Boosts Motivation and Morale:**

- Employees are more motivated when they see how their work contributes to the success of the organisation. Linking projects to organisational objectives helps team members understand their role in the bigger picture, which can enhance job satisfaction and morale, leading to higher productivity and better project outcomes.

6. **Facilitates Better Risk Management:**

- When projects are closely tied to the company's objectives, it becomes easier to identify, assess, and manage risks related to the strategic goals of the organisation. Project managers can prioritise risk management efforts based on how potential issues might impact the achievement of organisational objectives, thus ensuring more targeted and effective risk mitigation strategies.